

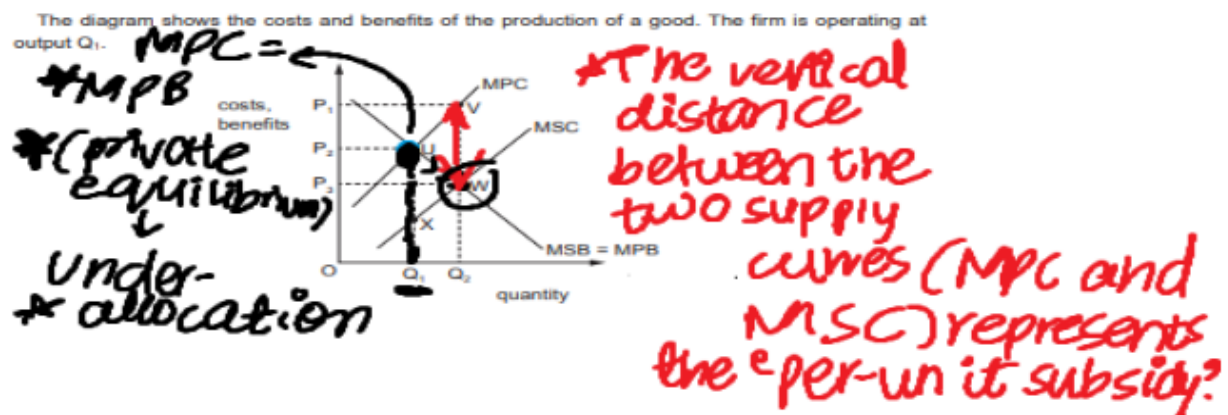
1-B:

- A- This is incorrect because marginal social benefit is equal to "marginal private benefit" **plus** "marginal external benefit"
- B- It is correct because marginal social cost is equal to "marginal private cost" plus "marginal external cost".
- C- Negative externality = marginal social cost minus marginal private cost.
- D- -Positive externality = marginal social benefit minus marginal private benefit.

2- B:

A – The subsidy of "UW" shows a movement along the demand curve. This can be seen in the diagram below.

B – Since already under-allocation is being done, a subsidy which is a financial incentive, will be given by the government to the producers, which will help to increase supply, and in turn increase the output to "socially-optimum level of output". In order to achieve this purpose, a subsidy of "VW" needs to be given, since it is the vertical distance between the two supply curves "MPC" and "MSC".



C and D: Setting a maximum price of "P2" and a minimum price of "P3" will not lead to the "socially-optimal equilibrium to be achieved", because this results in dis-equilibrium.

3 – B:

A – When managers have information un-available to shareholders, this is a classic example of information asymmetry, where one party (the manager) has more information than the other party (the shareholder), which results in a “principal-agent problem” and since this represents “**imperfections**”, it is a cause of market failure.

B - Resources that are continuously renewable, like solar energy, often do not face the same issues of scarcity and depletion as non-renewable resources. **In this case, the market can function efficiently to allocate resources without the risk of depletion or negative externalities typically associated with non-renewable resources.** This is why, key B, is correct.

C - Market failure occurs when the allocation of goods and services in a market is inefficient, leading to outcomes that are not optimal from a societal perspective. In other words, the market fails to achieve **Pareto efficiency**. Market failures can arise due to various reasons, such as externalities, public goods, imperfect competition or information asymmetry. **When resource allocation is not “pareto efficient”, it is likely to lead to “market failure”**

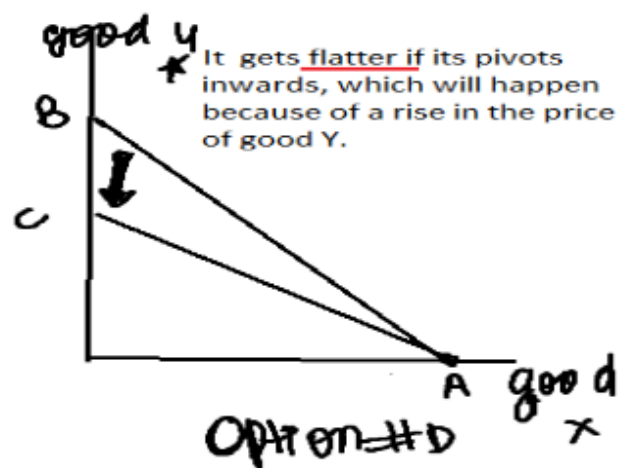
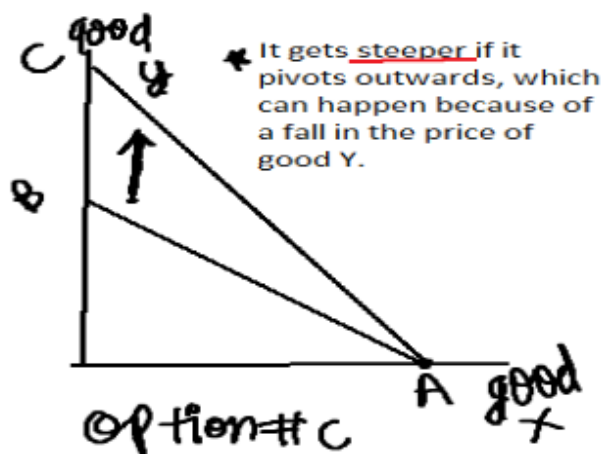
D – Over-production of demerit goods is also a cause of market failure since the negative externalities associated with it are ignored.

4- C:

A - If the consumer's income fell, the budget line would have shifted leftwards parallelly, but the slope would have remained unchanged, since **parallel lines have the same gradient**.

B - If the consumer's income rose, the budget line would have shifted rightwards parallelly, but the slope would have remained unchanged, since **parallel lines have the same gradient**

C and D:



5- B:

- It is assumed that a rational consumer has all the information available which is necessary to make well-informed decisions at **zero cost**. A rational consumer is an individual who consistently makes choices that maximize their overall utility, given their limited resources and the available options
- If a research identifies that **good X** is a “merit good”, which will yield greater satisfaction or utility, then the rational consumer will switch from good Y to good X.
- The effect of this will be an **increase** in qty purchased of X, and a **decrease** in qty purchased of good Y.

This is why, key B, becomes correct.

6-B:

output	total cost (\$)	marginal cost (\$)
1	200	20
2	215	15
3	225	10
4	240	15
5	260	20

$180 \Rightarrow (200 - 20 = 180)$
↓
This is the fixed cost

* AFC at the output of 6 units
 $\frac{AFC}{Qty} \rightarrow \frac{180}{6} \Rightarrow \30

7 – C:

Since monopolistic competition is a part of imperfect competition, it faces a “downward sloping demand curve”.

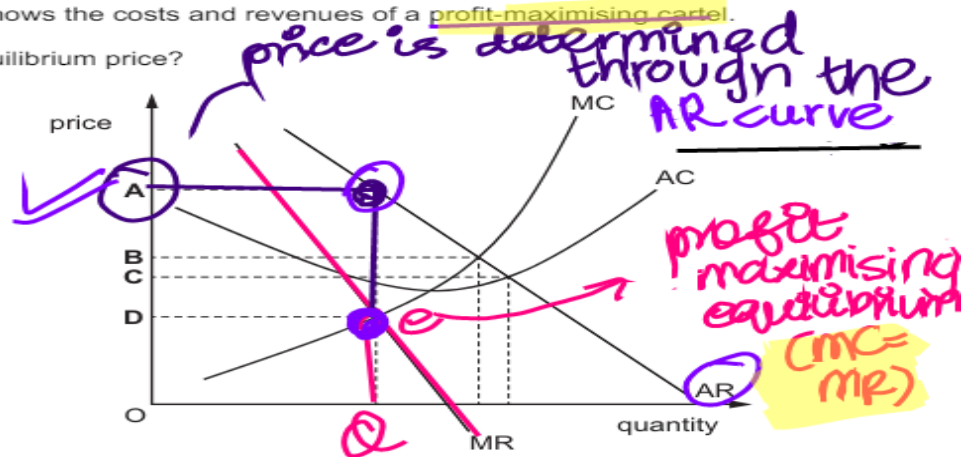
Additionally, in such a market structure, economic rivalry typically takes inform of non-price competition, mainly product differentiation. Firms differentiate their products from competitors on the basis of quality, packaging and branding and this is how some firms earn more than other in the short-run.

Since they are small firms, the capital requirements are usually low, which represents that there are low cost barriers. This gives existence to ease with which firms can enter the market.

8-A:

- 8 The diagram shows the costs and revenues of a profit-maximising cartel.

What is the equilibrium price?



9- C:



Since, the "total cost" curve is drawn as a linear line, this means that the "change in total cost" or the "marginal cost" must be constant, which is denoted through the curve "MC3". This is why, key C, will be the answer.

10 – D:

A – When two firms in the same industry, producing similar products, integrate, they would benefit from purchasing economies of scale, as they now have a greater bargaining power when purchasing raw-materials.

B- Again, there is also a potential to earn "technical economies of scale"

C – They also benefit from **managerial economies of scale**, as the management and administrative salaries are distributed over a larger volume of output.

D – Dependence of the firms on different suppliers of raw-materials for a consistent supply of resources may be reduced if the firm does "vertically-backward integration". It is not related to when two firms in the same industry, producing similar products, integrate. This is why, key D, becomes correct.

11 – D:

$$\begin{array}{l|l} \text{ATC} = \text{AFC} + \text{AVC} & \text{AVC} = \frac{\text{TVC}}{\text{Qty}} \\ 100 = 20 + x & 80 = \frac{6400}{x} \\ 100 - 20 = x & \\ x = 80 & \\ \downarrow & \\ \text{Average variable cost} & x = 80 \text{ units} \end{array}$$

12 – C:

A: If a firm achieves below normal profit, that is when $AR < AC$, there will be a loss.

B: If the firm maximizes the quality of the output, this will result in the long-run profits being maximized.

C: This explains profit satisficing as **profit satisficing** is an alternative business objective to maximizing profits. It means that the business is making enough profits to keep shareholders happy or it is sufficient for investors to maintain confidence in the management they appoint. This is why, key C, is correct.

D: This is incorrect because revenue maximization, which is achieved when marginal revenue is equal to zero, does not involve **the managers of a firm operating with "just enough profit" to keep shareholders happy.**

13- A:

Economic regulation refers to the rules that limit who can enter a business(entry controls) and what prices they may charge(price controls)

An example of this is : legislation to forbid price fixing by a cartels, which is why, key A, becomes correct.

Moreover, removal of import tariffs (option B), and subsidizing small firms (option C), will also reduce the power of monopoly by inviting competition from "foreign firms and domestic firms", and also, taxation of monopoly profits(option D) will reduce the financial strength of a monopoly, but these are not examples of **regulations.**

Note: A tax is not a regulation(option D)

14 – A:

Gini coefficient is calculated by dividing the area between the 45 degree line of perfect equality and the Lorenz curve i.e. X with the total area that is under the line of perfect equality i.e. X+Y

Therefore, the correct answer is:

X divided by (X plus Y)

15 – C:

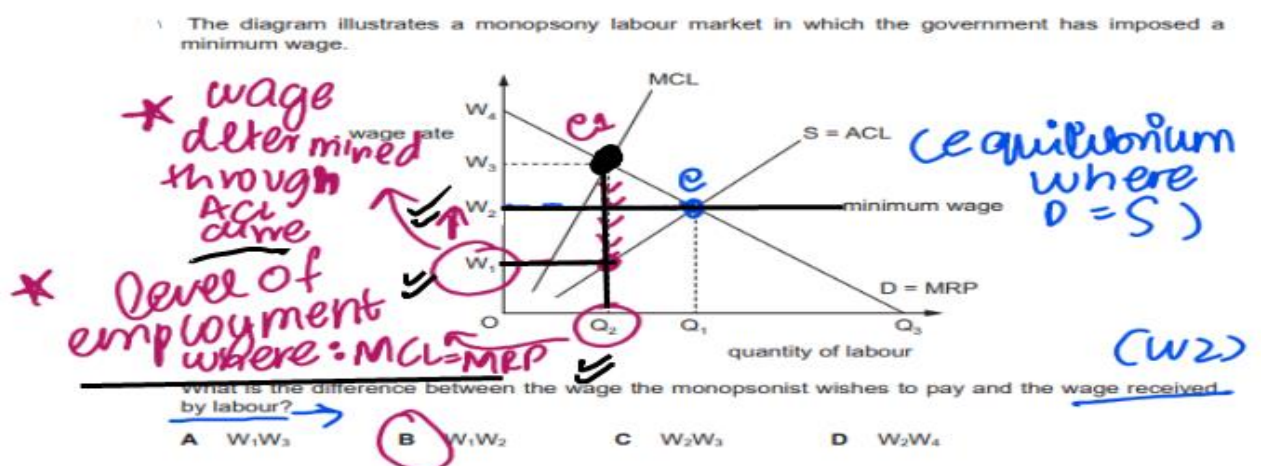
Inter-generational equity refers to the fairness and justice in the distribution of resources and benefits between different age groups, particularly between younger and older generations.

The combination in option C:

- A rise in educational maintenance allowances benefits the younger generation (students) by providing them with more financial support for their education.
- A fall in state pensions reduces the benefits received by the older generation (retirees), potentially disadvantaging them.

This combination of policies therefore has a significant impact on inter-generational equity, as it shifts resources from the older generation to the younger generation.

16 – B:

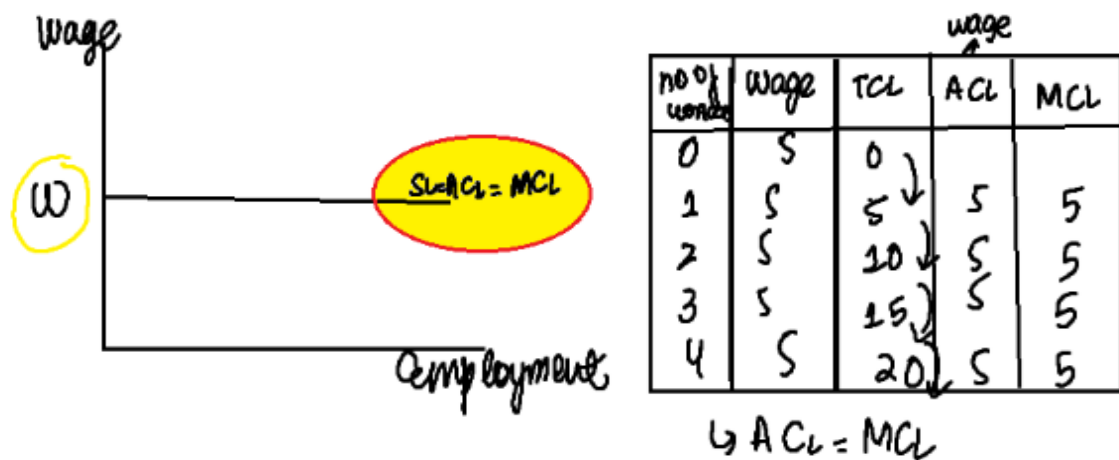


This is why, key B, becomes correct.

17- C:

C - The **MRP of labor** ($MPP \cdot MR$) refers to the **additional revenue generated by hiring one more unit of labor**. It represents the **contribution of that worker to the firm's total revenue**. As a firm hires more workers, the **MRP reflects the extra output produced and the associated revenue**. And the "**Marginal revenue productivity curve**" is equal to the "**demand for labor curve**", because the firm takes hiring decisions on the basis of "**the contribution of each worker to the output**" and to the "**revenue**". This is why, it is correct to say that the demand for labor curve is derived from the "**marginal revenue product of labor curve**".

A – The marginal cost of labor curve represents the "supply of labor curve" in case of a perfect labor market, as can be seen in the diagram below.



B – Marginal revenue is the part of MRP because $MRP = MPL(MPP) \cdot MR$.

D – Short-run marginal cost curve is an indication towards the "product market"

18-B:

A - Welfare benefits can increase consumption and boost Aggregate demand, but they may not lead to long-term economic growth without investments in productive capacity and human capital.

B -Using foreign financial aid to import capital goods can lead to economic growth in the long run. Capital goods, such as machinery and technology, can increase productivity and efficiency, enhance industrial capacity, and encourage investment and innovation.

C - Reducing environmental pollution is important for sustainable development and can have long-term benefits for the economy. However, it will not have a direct impact on long-term economic growth.

D- Reducing income tax can increase disposable income and boost consumption and subsequently Aggregate demand, leading to short-run actual growth.

But it may not lead to long-term economic growth without investments in productive capacity and human capital. Tax cuts can also reduce government revenue, making it challenging to fund public investments in infrastructure, education, and healthcare, which are essential for long-term economic growth.

19-C:

The question is asking which country suffers most from deprivation in health and living standards compared to deprivation of education.

To answer this, I need to calculate the difference between the deprivation in health and living standards and the deprivation in education for each country.

Here are the calculations:

A) Bangladesh

Deprivation in health and living standards: $26.1 + 45.5 = 71.6$

Deprivation in education: 28.4

Difference: $71.6 - 28.4 = 43.2$

B) Burkino Faso:

Deprivation in health and living standards: $22.5 + 38.5 = 61$

Deprivation in education: 39.0

Difference: $61 - 39 = 22$

C) Lesotho:

Deprivation in health and living standards: $33.8 + 51.4 = 85.2$

Deprivation in education: 14.8

Difference: $85.2 - 14.8 = 70.4$

D) Yemen:

Deprivation in health and living standards: $32.2 + 38.2 = 70.4$

Deprivation in education: 29.5

Difference: $70.4 - 29.5 = 40.9$

Based on these calculations, the country that suffers most from deprivation in health and living standards compared to deprivation of education is: **Lesotho**

20- A:

A - Developing economies often rely heavily on the export of primary products (such as agricultural commodities, minerals, or fuels) to generate revenue. This can create a dependence on industrialized countries for manufactured goods, as they may not have the capacity to produce these goods domestically. This statement accurately describes a common challenge facing many developing economies.

B) High levels of capital per head are not typically a characteristic of developing economies. In fact, many developing economies face capital shortages and rely on foreign investment or aid to finance development projects.

C) High real GDP per head is not a characteristic of developing economies, which are typically defined by low GDP per capita. High population growth rates can indeed pose challenges for developing economies, but this option is not accurate.

D) Migration of labor from rural to urban areas is significant for developing economies, even if it doesn't result in labor shortages in the rural economy. This migration can lead to urbanization, changes in labor markets, and shifts in economic activity.

21- C:

Large productivity increases arising from human capital developments is most likely to reduce costs of production, because of which, Aggregate supply will increase. This will be shown through a rightward shift in the Aggregate supply curve.

If all of the additional income is repatriated, it could reduce consumption and investment in the domestic economy, leading to a decrease in aggregate demand. In other words, the curve will shift leftwards.

22-D:

Divide the impacts into two people.

Let's observe the impact of this on the income of the director. His salary initially was 80,000, but now after redundancy he will only get 70,000 (40,000 in form of consultancy fee and 30,000 in form of private pension). This means that the loss of director's income will be 10,000

Secondly, let's assess the impact of this on the gardener. He was previously earning 8,000 which he would not be earning now since he has been laid off by the director. This means that the loss of gardener's income will be 8,000.

As a result of this, the overall fall in the measured national income in the first year will be 18,000. (D; -18,000)

Why will private pension be included in national income calculation?

Private pension is a plan into which individuals privately contribute from their earnings, which then will pay them a pension after retirement.

The director worked for many years and earned a salary.

Part of that salary was set aside (or "deferred") to fund their future pension.

Now, after he's laid off, the director receives regular pension payments.

These payments are a result of their past work and contributions to the economy.

23- C:

The multiplier measures how much an increase in autonomous injections will affect economic activity.

A higher rate of taxation, or in other words, an increase in marginal propensity to taxation represents a rise in withdrawals from the circular flow. This leads to a fall in marginal propensity to consume, and therefore the value of multiplier falls. This is why, option C becomes correct.

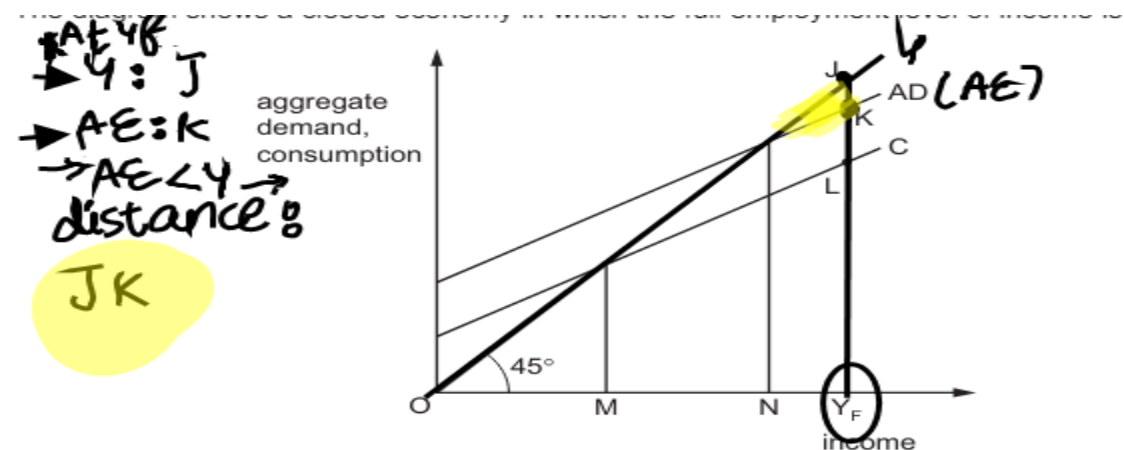
Additionally, an increase in consumption indicates a rise in marginal propensity to consume, which will boost the value of the multiplier which is measured through:

$1/(1-mpc)$. This is why, B will be incorrect.

Option A(an increase in investment spending) and option D (an increase in volume of exports which result in an increase in export revenues) represent autonomous injections themselves, which won't affect the value of the multiplier.

24-A:

The deflationary gap represents the amount by which aggregate expenditure falls short of real income at the full employment level of income.



Which distance measures the deflationary gap?

- A** JK B JL C NY_F D MY_F

This explains why key A will be correct.

Key take away: difference between negative output gap & deflationary gap.

Note: The difference between actual income i.e. N and potential income i.e. Y_f represents the negative output gap, which is denoted through NY_f .

25- A:

Aggregate demand is calculated using:

$$C+I+G+(X-M)$$

Substituting the values will leave us to the expression:-

$$\rightarrow 400+200+400+(300-400)$$

$$\rightarrow 900$$

This is why, option A, is correct.

26-B:

Standard of living (D) is a broader concept that depends on many other factors beyond national income.

While National income statistics of the country do include incomes from net exports (A), they cannot help to directly deduce the Balance of payments position which includes numerous other components beyond balance of trade.

National income data also does not help to show how equally the income is distributed among the population(c)

Therefore, the correct answer becomes option (B) The calculation of national income (GDP) provides valuable insights into the overall structure and composition of the economy. It reveals the contribution of different sectors, such as primary sector, secondary sector and services, to the economy. Additionally, it shows the value added by various industries and the distribution of economic activity across different sectors. This information helps understand the pattern of production in the economy, including what goods and services are being produced.

27-C:

Using leakages and injections method, the macro-economic equilibrium is where:

Leakages = Injections

$$S+T+M = I+G+X$$

$$\textcircled{S} + \textcircled{T} + \textcircled{M} = I + G + \textcircled{X}$$

move to the right side

$$\textcircled{S} + \textcircled{T} + \textcircled{M} = I + G + \textcircled{X}$$

move to the left side

$$\underbrace{S+T+M}_{\text{Leakages}} = \underbrace{I+G+X}_{\text{Injections}}$$

28- D:

The correct answer is D) using fiscal policy to increase effective demand.

- Keynesian economics emphasizes the importance of aggregate demand in determining economic activity. To reduce cyclical unemployment, a Keynesian approach would involve using **reflationary fiscal policy, by increasing government spending or cutting taxes, to boost aggregate demand**, further encouraging businesses to hire more workers and reduce unemployment.

The other options are not Keynesian measures to reduce cyclical unemployment:

- A) Retraining unskilled workers is a supply-side policy, aimed at improving occupational mobility of labor, which reduces structural unemployment that is categorized under “natural rate of unemployment”
- B) Allowing the private sector to take over the supply of merit goods represents privatization, which after having boosted efficiency would also raise Aggregate supply.
- C) Increasing the ratio of capital equipment to manual labor will lead to an increase in technological unemployment (which is a part of structural unemployment) that comes under natural rate of unemployment.

29- D:

Key takeaway:

Depreciation raises the prices of imported goods in “domestic currency terms”, but decreases the prices of exported goods in “foreign currency terms”

- As mentioned above, depreciation will cause a rise in the prices of imported goods in the domestic currency.

Note: Here, the question asks us for the impact on the prices of exported goods in the domestic currency and “not foreign currency”

- Since the prices of factors of production that it imports has risen due to depreciation, the costs of manufacturing exported goods will also rise. This will result in a rise in the prices of exported goods in domestic currency terms as the burden of cost increases would be passed to consumers in form of higher prices.

This is why, key D, is correct.

30- B:

A – An increase in government spending on goods and services after having boosted Aggregate demand will have an effect of reducing “demand-deficient unemployment”

B – Training workers is a supply-side policy, aimed at improving occupational mobility of labor, which reduces structural unemployment that is categorized under “natural rate of unemployment”. This is why, option B, is correct.

C – An increase in the period for which the unemployed is eligible for unemployment benefits will lead to an increase in “voluntary unemployment”

D – An increase in the minimum wage, after having contracted qty demanded, and extended qty supplied of labor, will bring about a disequilibrium unemployment (**mainly “classical unemployment”**) in the economy.